

Quiz Summary

Section Filter ▾

 Student Analysis

 Item Analysis

Ⓜ Average Score

67%

🎯 High Score

100%

📉 Low Score

25%

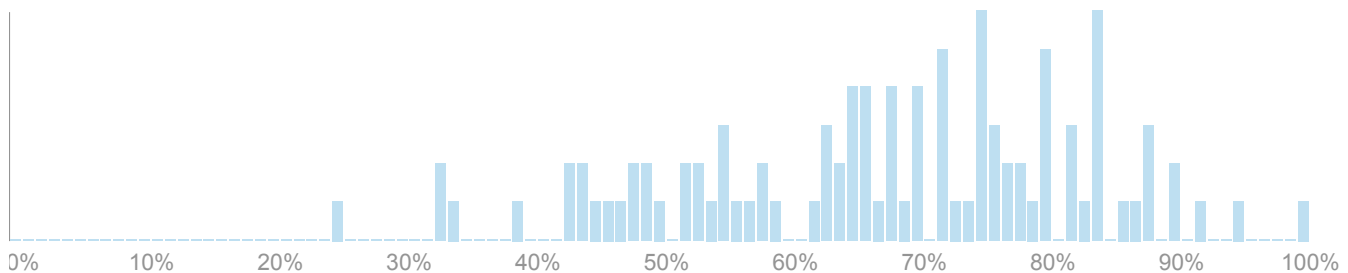
⊖ Standard
Deviation

20.01

🕒 Average Time

01:35:18

👁️👁️💀 Tough test! (It was curved)



Question Breakdown

Attempts: 100 out of 100

+0.51

For a firm with market power, the marginal revenue curve

Discrimination
Index ?

lies below the demand curve.

29 respondents

29 %

lies below the average revenue curve.

3 respondents

3 %

could be below zero for some quantities (that is, at some levels of production MR is negative).

0 %

All of the above

68 respondents

68 %

68%

answered
correctly

Attempts: 100 out of 100

You sell burritos on campus. When you charge \$6 / burrito you sell 20 burritos. When you charge \$5 / burrito, you sell 25 burritos. Your total revenue increases because

+0.54

Discrimination
Index 

the output effect outweighs the discount effect.

64 respondents

64 %

the output effect and the discount effect both push total revenue up.

13 respondents

13 %

the discount effect outweighs the output effect.

23 respondents

23 %

the demand curve you face slopes down.

0 %

64%
answered
correctly



Attempts: 100 out of 100

A drug company has a monopoly on a vaccine for a certain virus that is not lethal but does make people sick enough to miss work or school for a few days. Because this vaccine is supplied by a monopolist,

+0.23

Discrimination
Index 

less than the socially efficient quantity (that is, less than the quantity that maximizes economic surplus in society) of the vaccine is sold.

91 respondents

91 %

more than the socially efficient quantity of the vaccine is sold.

0 %

the firm sets its price equal to its marginal cost.

3 respondents

3 %

there is no reason to advertise.

6 respondents

6 %

91%
answered
correctly



Attempts: 100 out of 100

If a firm with market power can perfectly price discriminate, then the firm's MR curve is

+0.49

Discrimination
Index (?)

the same as the demand curve the firm faces.	79 respondents	79 %	✓
a horizontal line.	1 respondent	1 %	
beneath the demand curve the firm faces.	19 respondents	19 %	
also its marginal profit curve.	1 respondent	1 %	

79%
answered
correctly

Attempts: 100 out of 100

+0.5

A firm with market power will Discrimination
Index (?)

face a downward sloping demand curve.	75 respondents	75 %	✓
might be a price-taker if it sells an undifferentiated good.		0 %	
makes short-run decisions based on fixed costs (such as rent).		0 %	
All of the above	25 respondents	25 %	

75%
answered
correctly

Attempts: 100 out of 100

There are only two grocery stores in your city. They are located across the street from one another and sell the exact same goods. If one grocery store closed (assume there was no change in the market demand for groceries), you would expect the remaining grocery store to

+0.41

Discrimination
Index (?)

increase its prices.	83 respondents	83 %	✓
would increase the quantity of groceries it sells, up to the	15 respondents	15 %	

quantity that maximizes total economic surplus in your town.

keep its price the same so as to not irritate its loyal customers. 2 respondents 2 %

lower its price in order to capture all the demand in your city. 0 %

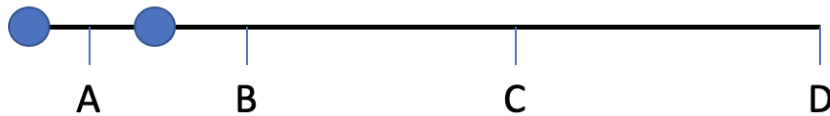
83%

answered

correctly

Attempts: 100 out of 100

Suppose you are opening a hot cocoa stand on a street that already has two hot cocoa stands, as represented by the circles in the picture below. Potential customers only choose a hot cocoa stand based on which is closest. Suppose that customers are spread evenly along the street when they are suddenly struck by the desire for hot cocoa. Which one of the following four spots should you place your hot cocoa stand? (Assume that no one else will open a new cocoa stand after you.)



+0.52

Discrimination
Index (?)

A	2 respondents	2 %	85%
B	85 respondents	85 %	✓answered correctly
C	12 respondents	12 %	
D	1 respondent	1 %	

Attempts: 100 out of 100

Suppose on January 1 a firm rented a factory and some machines for the entire year (suppose the firm paid the entire year's rent on January 1). In addition to those fixed costs, each week the firm would hire as many workers as it needed for the week (i.e., the workers were a variable cost).

In July, the firm realizes that, if it stay in business through the end of the year, its total cost will be greater than its total revenue. That is, it would have negative economic profits if it stays in business the whole year.

Then

+0.16

Discrimination

Index ?

the firm should stop producing—i.e., stop hiring workers and stop making goods—as soon as possible.	16 respondents	16 %
the firm should keep producing this year since it already paid rent for the entire year.	3 respondents	3 %
the firm should keep producing this year if it can produce at a point where its MR is greater than its MC; otherwise, it should stop producing immediately.	78 respondents	78 %
the firm should lower its price to sell more goods and make more money.	3 respondents	3 %

78%
answered
correctly

Attempts: 100 out of 100

If Bryan's wealth goes up \$10 from its current level, he will get a utility boost of 4 "points". If his wealth goes down by \$10, he would lose 6 points of utility.

Will Bryan, a very rational individual, take a bet that would win him **\$20** with probability 50 percent and lose him \$10 with probability 50 percent?

+0.34

Discrimination

Index ?

Yes, because the expected payout of that bet is positive.	11 respondents	11 %
Yes, because his expected utility if he takes the bet is higher than his expected utility if he doesn't take the bet.	35 respondents	35 %
No, because the expected utility of the bet is negative.	18 respondents	18 %
Can't say, because of diminishing marginal utility of wealth.	36 respondents	36 %

36%
answered
correctly

Attempts: 100 out of 100

Consider the imperfectly competitive market for cupcakes in the Georgetown neighborhood of the great world city of Washington, DC, USA. Suppose in 2020 there was a substantial decrease in the DC market demand for cupcakes, causing several cupcake firms to exit the market at the end of 2020. Suppose there were no further changes in the DC market demand for cupcakes (so the market demand for cupcakes stayed at its reduced, 2020 level). Then remaining firms in the market would each

+0.42

Discrimination
Index (?)

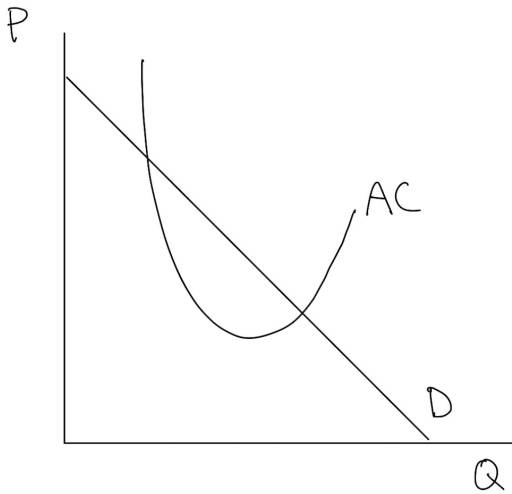
- | | | |
|---|----------------|-------------|
| a) see an increase in profits relative to 2019 profits because their "firm demand curves" (i.e., the demand curves their firms face) shift out as the result of the exit of rivals. | 42 respondents | 42 % |
| b) see a decrease in profits relative to 2019 because of the reduced market demand. | 13 respondents | 13 % |
| c) have the same profits, because there's no reason their MC or MR curves would shift. | 6 respondents | 6 % |
| d) can't say without more information. | 39 respondents | 39 % |



39%
answered
correctly

Attempts: 100 out of 100

Suppose a profit-maximizing firm faces the demand curve shown and has the average cost curve shown.



Then

+0.44

Discrimination

Index (?)

a) the firm is earning economic profits.

29 respondents

29 %



b) the firm should produce at the quantity that maximizes the gap between the demand curve and the AC curve (i.e., that maximizes $AR - AC$)

15 respondents

15 %

c) the firm produces at a quantity where the AC curve crosses the demand curve.

1 respondent

1 %

a and b

50 respondents

50 %

None of the above.

5 respondents

5 %

29%

answered

correctly

Attempts: 100 out of 100

To start your job search, a career advisor recommends you create a LinkedIn profile. With LinkedIn, you can advertise your skills, share previous work experience, and connect with recruiters. You don't like the user interface of the LinkedIn website, but you won't change to a different job search site because so many prospective employers only use LinkedIn. Of the following, which is the most effective source of an entry barrier that LinkedIn has established.

+0.21

Discrimination
Index 

reputation and goodwill	2 respondents	2 %	93%
network effect	93 respondents	93 %	✓ answered correctly
economies of scale	1 respondent	1 %	
switching costs	4 respondents	4 %	

Attempts: 100 out of 100

You manage a restaurant and buy vegetables from a local farm. When you see another local farm for sale, you realize it could provide the vegetables you need. If you buy the farm, which of the following is an advantage of that vertical integration?

+0.39

Discrimination
Index 

you'll get better vegetables		0 %	
you'll avoid the hold-up problem with your vegetable supplier	95 respondents	95 %	✓
it will raise the prices the original farm charges		0 %	
all of the above	5 respondents	5 %	

95%
answered
correctly

Attempts: 100 out of 100

+0.27

Firms engage in advertising in order to Discrimination
Index 

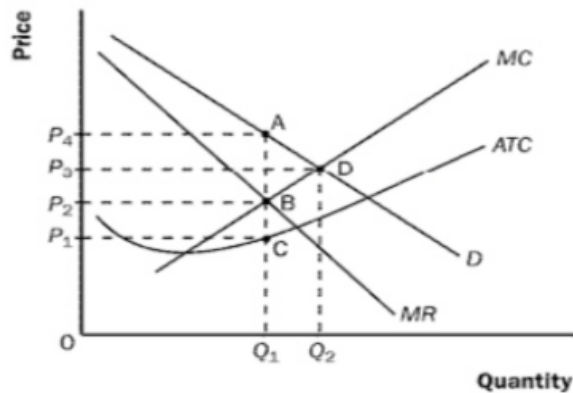
a) reduce their costs.		0 %	
b) increase the demand for their products.	1 respondent	1 %	
c) make the demand for their product less elastic.	1 respondent	1 %	
d) make the demand for their product more elastic.		0 %	
b and c	88 respondents	88 %	✓
b and d	10 respondents	10 %	

88%
answered
correctly

Attempts: 100 out of 100

In the figure below, which expression represents the **profit** of a profit-maximizing firm with market power? [Note: ATC is "average total cost" or what your textbook just calls "average cost"]

Note: Here profit is no the same as producer surplus. Remember, profit is total revenue less total cost.



+0.39

Discrimination
Index (?)

	12 respondents	12 %	49%
P4 x Q3 - P1 x Q3	49 respondents	49 %	✓answered correctly
	32 respondents	32 %	
	5 respondents	5 %	
Can't say with this information.	2 respondents	2 %	

Attempts: 100 out of 100

Your favorite fast food restaurant charges \$3 for a standalone drink, but only \$1 dollar for the drink if you add the drink to a meal. Of the following, what is **the most likely** explanation for why the restaurant prices the drink that way?

+0.18

Discrimination

Index (?)

The drink is cheaper for the restaurant to prepare and serve if they're already preparing a meal for you.

0 %

The restaurant is trying to develop a good reputation with customers so gives them the drink at below marginal cost, so long as they buy a meal.

2 respondents

2 %

the restaurant is trying to increase its profits through this form of price discrimination.

84 respondents

84 %

The restaurant prefers to sell food to drinks so discourages people from buying just drinks by raising the price of drinks.

14 respondents

14 %

84%

answered

correctly

Attempts: 100 out of 100

Suppose that there are two types of potential customers for your product: those who have a reservation price of \$10 and those who have a reservation price of \$5. If you can't price discriminate, what price should you charge?

+0.1

Discrimination

Index (?)

a) \$5, to ensure the maximum number of customers.

14 respondents

14 %

b) Something between \$5 and \$10, to increase your total revenue.

3 respondents

3 %

c) It depends on the number of demanders of each type.

3 respondents

3 %

d) It depends on your MC curve.

18 respondents

18 %

c and d

62 respondents

62 %

62%

answered

correctly

Attempts: 100 out of 100

Suppose a movie theater was charging \$10 per ticket for all customers but last week it tried a new, two-price system where it charges \$12 per ticket for non-students and \$8 per ticket for students. *(It picked the new prices based on a guess, not on a careful understanding of demand.)* Which one of the following outcomes is most likely to be true?

+0.23

Discrimination
Index ?

total consumer surplus would increase		0 %
total producer surplus would increase	17 respondents	17 %
the total consumer surplus of students would increase and the total consumer surplus for non-students would decrease	72 respondents	72 %
total consumer surplus for students would increase and total consumer surplus for non-students would either increase or decrease.	11 respondents	11 %

72%
answered
correctly

Attempts: 100 out of 100

+0.38

A person who is risk averse will Discrimination
Index ?

a) prefer a certain \$1,000 to a bet that has an expected financial value of \$1,000 (assuming that the person doesn't get any entertainment value from gambling)	7 respondents	7 %
b) have a utility curve that slopes downward	1 respondent	1 %
c) have diminishing marginal utility of wealth.	4 respondents	4 %
a and c	88 respondents	88 %

88%
answered
correctly

Attempts: 100 out of 100

You are a teacher with a bachelor's degree and you make \$40,000 a year. Your living expenses are \$15,000 a year.

If you had a master's degree you would get paid \$50,000 a year for the same job.

The closest master's program has a tuition of \$15,000 each year for two years. To do the masters program you would have to temporarily quit your job and move to the neighboring town, where your living expenses would be \$20,000 a year for each of the two years of the program. (After the program you would move back to the original town, where living expenses were only \$15,000. And you would go back to your old job, now with the higher salary.)

Assume that your quality of life is the same whether working or in graduate school and the same in both towns. Assume all the relevant costs and benefits have been stated above.

If you chose to do the master's program, What is the minimum number of years you would have to work at that job after doing the master's program to justify the **total economic cost** of getting the master's degree? (Hint: Think about this problem like an accounting profit vs. economic profit problem.)

+0.46

Discrimination
Index (?)

4 years	36 respondents	36 %	35% answered correctly
8 years	14 respondents	14 %	
12 years	35 respondents	35 %	
13 years	11 respondents	11 %	
14 years	4 respondents	4 %	

Attempts: 98 out of 100

This is the first part of a multi-question problem.

You manage a firm with market power. The demand curve that your firm faces is

$Q = 10 - P$. The marginal revenue curve your firm faces is $MR = 10 - 2Q$.

Suppose your fixed costs were 10 and your marginal cost curve is given by $MC = 2$.

a) What is the **price** you set if your goal is to maximize the firm's profits? [Write just the number. Do not write "\$"]

6.00	86 respondents	86 %	✓
0.00		0 %	✓
0.00		0 %	✓

0.00

0 % ✓

86%
answered
correctly

Something Else 12 respondents

12 %

No Answer 2 respondents

2 %

Attempts: 97 out of 100

This is the second part of a multi-question problem. Refer to the information in the previous part.

b) What is your firm's total profit? [Write just the number; no "\$".]

6.00

44 respondents

44 %



44%

0.00

0 % ✓

answered
correctly

0.00

0 % ✓

0.00

0 % ✓

Something Else 53 respondents

53 %

No Answer 3 respondents

3 %

Attempts: 97 out of 100

This is the third part of a multi-question problem. Refer to the information in the first part.

c) Suppose now that your firm could perfectly price discriminate. How many units would it sell?

8.00

69 respondents

69 %

✓70%

0.00

1 respondent

1 % ✓

answered
correctly

0.00

0 % ✓

0.00

0 % ✓

Something Else 27 respondents

27 %

No Answer 3 respondents

3 %

Attempts: 100 out of 100

This is the first part of a multi-question problem.

Rafa's wealth is \$10,000 when a friend comes to him with two investment opportunities.

Investment A would cost Rafa \$1,000. With 75 percent probability his \$1,000 investment would grow to \$2,000. With 25 percent probability, it would shrink to 0.

Investment B would cost Rafa \$2,000. With 50 percent probability the investment would grow to \$6,000 and with 50 percent probability it would shrink to 0.

a) What is the expected financial gain from Investment B? (Note, I am not asking for Rafa's expected wealth. I am asking for the expected financial gain from the investment).

1000.00	72 respondents	72 %	✓72% answered correctly
Something Else	28 respondents	28 %	

Attempts: 100 out of 100

This is the second part of a multi-question problem. Refer to the information in the previous part.

b) Suppose Rafa can invest in at most one option. And he may of course choose not to invest at all. What will Rafa choose?

+0.56

Discrimination
Index (?)

Investment A	6 respondents	6 %	
Investment B	21 respondents	21 %	
Don't invest.		0 %	
Insufficient information to know what Rafa will do.	73 respondents	73 %	✓

73%
answered
correctly

Attempts: 99 out of 100

This is the third part of a multi-question problem. Refer to the information from the previous parts (but do not use information from the next part to answer this question).

c) Here's some additional information: Rafa has diminishing marginal utility of wealth. With this additional information, what will Rafa choose?

+0.59

Discrimination
Index ?

Investment A	18 respondents	18 %	48% answered correctly
Investment B	5 respondents	5 %	
Don't invest.	28 respondents	28 %	
Insufficient information.	48 respondents	48 %	
No Answer	1 respondent	1 %	✓

Attempts: 98 out of 100

This is the fourth part of a multi-question problem. Refer to the information from the previous parts.

d) Here's some additional information: Rafa's utility over various income levels is given in the following table.

Wealth (\$)	Utility
8,000	4
9,000	8
10,000	11
11,000	12
12,000	12.5
13,000	12.75
14,000	13
15,000	13.125
16,000	13.2

What is Rafa's expected utility from **Investment B**?

8.50	34 respondents	34 %	✓	34% answered correctly
Something Else	64 respondents	64 %		
No Answer	2 respondents	2 %		

Attempts: 100 out of 100

Your town is going to connect the highway to the town center by building two ramps. Exxon and Shell are both interested in building a single gas station. They can build the gas station

near the ramp for northbound traffic or they could build the gas station near the ramp for southbound traffic. The profits, in thousands of dollars, for each outcome are illustrated in the following payoff table:

	Shell builds near northbound ramp	Shell builds near southbound ramp
Exxon builds near northbound ramp	Exxon receives \$60 thousand profit Shell receives \$50 thousand profit	Exxon receives \$110 thousand profit Shell receives \$100 thousand profit
Exxon builds near southbound ramp	Exxon receives \$80 thousand profit Shell receives \$120 thousand profit	Exxon receives \$50 thousand profit Shell receives \$50 thousand profit

What is the outcome that has the highest producer surplus?

+0.32

Discrimination

Index (?)

- | | | | |
|--|----------------|-------------|---|
| a) "top-left" (i.e., both build near north ramp) | 1 respondent | 1 % | |
| b) "top-right" (Exxon builds north; Shell builds south) | 88 respondents | 88 % | ✓ |
| c) "bottom-left" (Exxon builds south; Shell builds north) | 5 respondents | 5 % | |
| d) "bottom-right" (i.e., both build near south ramp) | 2 respondents | 2 % | |
| c and d | 4 respondents | 4 % | |

88%

answered

correctly

Attempts: 100 out of 100

This and the next problem are "too much game theory" for us. So disregard this and the next problem.

Refer to the previous game. Suppose the two firms don't communicate and must choose at the same time (i.e., it's a simultaneous game). Identify the Nash equilibrium (or equilibria).

+0.42

Discrimination
Index (?)

a) "top-left"	9 respondents	9 %	75% answered correctly
b) "top-right"	4 respondents	4 %	
c) "bottom-left"	1 respondent	1 %	
b and c	75 respondents	75 %	✓
there is none	11 respondents	11 %	

Attempts: 100 out of 100

We won't cover this much game theory, so disregard this problem.

Refer to the Exxon-Shell game of the previous two problems.

What would happen if Shell could move first (that is, if this were a sequential game and Shell moved first)?

+0.23

Discrimination
Index (?)

a) "top-left"	1 respondent	1 %	✓
b) "bottom-right"	3 respondents	3 %	
c) "bottom-left"	87 respondents	87 %	
d) "top-right"	6 respondents	6 %	
b OR d; can't say without more information	3 respondents	3 %	

87%
answered
correctly